PlotStudio

Neighborhood Renovation Investment Targeting

Apr 5, 2026 · 5m 19s

QUESTION

Where would buying a property and renovating give the best investment opportunity?

Neighborhood Renovation Premiums by Entry Price

Overview

The neighborhood investment assets are internally consistent enough to support a buy-and-renovate ranking, and the first-pass pattern is clear: the strongest raw opportunities are neighborhoods with meaningful renovation premiums at still-manageable entry prices. The most compelling candidates at this stage are Timber, Crawfor, NWAmes, SawyerW, BrkSide, and Sawyer, while CollgCr, Edwards, NoRidge, and Mitchel look materially weaker on raw premium alone.

Key Patterns & Observations

First, the sample definition is clean. The housing investment base contains `1,459` sales, one row per sale, and every sale falls into exactly one renovation bucket: `621` recent-renovation sales and `838` non-recent sales. That means the comparison logic is well-defined rather than mixing overlapping groups.

Second, the premium tables are intentionally narrower than the full neighborhood counts table. The neighborhood counts table covers `25` neighborhoods, but the premium, volatility, score, and tier tables cover `13` neighborhoods with enough usable recent-vs-non-recent comparisons. That is not an error; it means the premium analysis is already filtered toward neighborhoods with analyzable renovation splits.

The neighborhood renovation premium summary `df_neighborhood_premium_summary` shows the strongest percentage uplift in price per square foot in these areas:

Neighborhood	Premium per Sqft (%)	Total Sales	Recent Sales	Non-Recent Sales
Timber	31.5	37	21	16
Crawfor	19.7	51	19	32
NWAmes	18.1	73	12	61
SawyerW	16.2	59	16	43
BrkSide	15.9	58	13	45
Sawyer	13.4	74	13	61
NAmes	10.3	225	40	185

The weakest raw uplift is concentrated here:

Neighborhood	Premium per Sqft (%)	Total Sales
CollgCr	0.6	150
Edwards	1.6	100
NoRidge	2.2	41
Mitchel	2.8	49
Gilbert	4.8	79

The affordability-versus-premium plot **Figure 1**

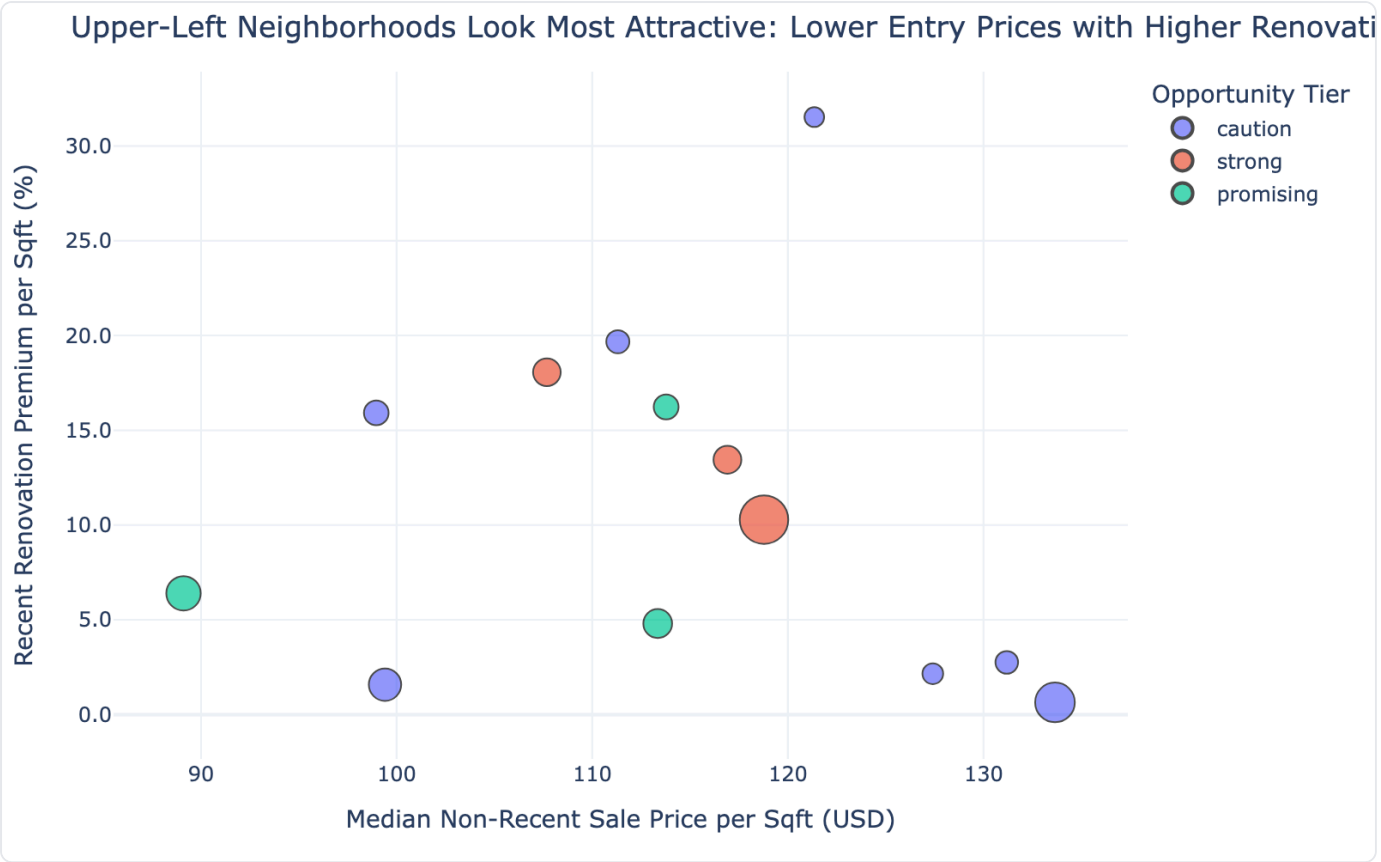

Figure 1

makes the trade-off visible quickly: the most attractive buy-renovate areas sit toward the upper-left, where baseline non-renovated homes are cheaper per square foot but renovated homes command a larger premium. The existing opportunity tiers generally align with that picture, which is a good sign that the composite scoring framework is directionally sensible.

Interpretation & Implications

The early signal favors neighborhoods that combine double-digit renovation premiums with moderate entry costs, not just expensive neighborhoods with prestige pricing. That matters because a renovation strategy depends on uplift relative to the buy-in price; a neighborhood can be affluent and still be a mediocre renovation play if renovated homes do not sell for much more than comparable non-recent homes.

A second important takeaway is that the strongest raw premium names are not obviously being driven by unusably tiny samples. All 13 neighborhoods in the premium table were marked sample-sufficient under the existing rule, and the best-performing neighborhoods still have nontrivial counts. That does not eliminate risk, but it means we are not chasing one-off outliers yet.

The next step is to add volatility and composite investment scoring so we can separate **high-premium but stable** neighborhoods from **high-premium but noisy** ones. That will let us move from a raw upside view to a proper ROI-and-risk recommendation for where buying and renovating appears most attractive.

Neighborhood ROI and Risk Profile

Overview

The most balanced buy-and-renovate opportunities now look like NWAmes, NAmes, and Sawyer because they pair respectable renovation upside with more favorable stability and entry-price trade-offs. By contrast, some neighborhoods with eye-catching premiums—especially Crawfor—look less investable once volatility and baseline purchase cost are added to the picture.

The consolidated neighborhood ROI view `df_neighborhood_roi_view` brings the premium, affordability, volatility, and composite score into one place. The risk map **Figure 2**

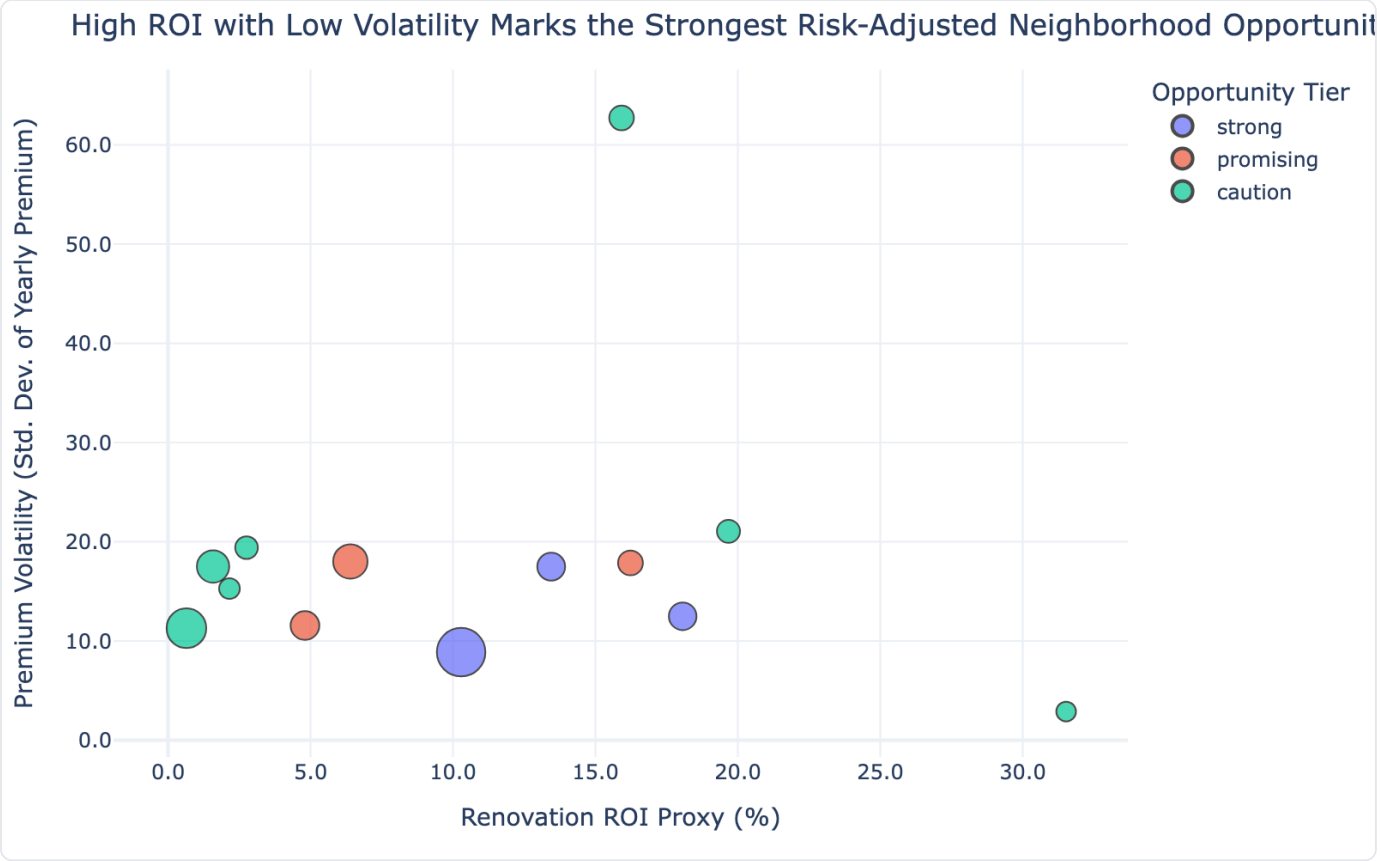

Figure 2

shows the key visual pattern: the best neighborhoods sit toward the lower-right, where renovation uplift is relatively high but year-to-year premium volatility stays lower.

Key Patterns & Observations

The strongest current tier is led by neighborhoods already labeled `strong` in the prepared scoring framework:

Neighborhood	Opportunity Tier	Composite Score	ROI Proxy (%)	Valid Years
NWAmes	strong	0.667	18.1	5
NAmes	strong	0.658	10.3	5
Sawyer	strong	0.592	13.4	5

These stand out because they do not rely on just one favorable metric. Their renovation premiums are meaningful, their samples are adequate, and their overall score suggests the upside survives the additional penalty for volatility and entry price.

The middle group remains investable, but with less margin for error:

Neighborhood	Opportunity Tier	Composite Score
SawyerW	promising	0.542
Gilbert	promising	0.475
OldTown	promising	0.450

The biggest caution flag is **high upside without enough stability**. Crawfor was explicitly flagged as a high-ROI, high-volatility case:

Neighborhood	ROI Proxy (%)	Composite Score	Opportunity Tier
Crawfor	19.7	0.517	caution

A separate pattern is **entry-price drag**, where strong premiums are partly offset because buying in is already expensive:

Neighborhood	Opportunity Tier
NoRidge	caution
Timber	caution
Crawfor	caution
NWAmes	strong

Interpretation & Implications

This changes the story from “where are premiums highest?” to “where is renovation upside most investable?” Timber still shows the single largest raw premium, but its expensive entry point pushes it into a more cautionary posture. Crawfor has similarly attractive upside, but its volatility means the historical premium has been less dependable across years.

That is why NWAmes, NAmes, and Sawyer look stronger right now: they offer a more balanced mix of uplift, affordability, and stability. SawyerW also remains attractive as a secondary option, while Gilbert

and OldTown look more situational than top-tier.

The practical takeaway is that a buy-and-renovate investor should prefer neighborhoods where the premium is not only large, but repeatable relative to the acquisition cost. On that standard, the current evidence favors NWAmes, NAmes, and Sawyer over the flashier but riskier alternatives.

Best Neighborhoods for Buy-and-Renovate Investment

Overview

The best buy-and-renovate opportunities in this dataset are NWAmes, NAmes, and Sawyer because they offer the strongest balance of renovation upside, manageable entry price, and acceptable stability. The final ranked shortlist `df_best_reno_neighborhoods` and the composite score ranking **Figure 3**

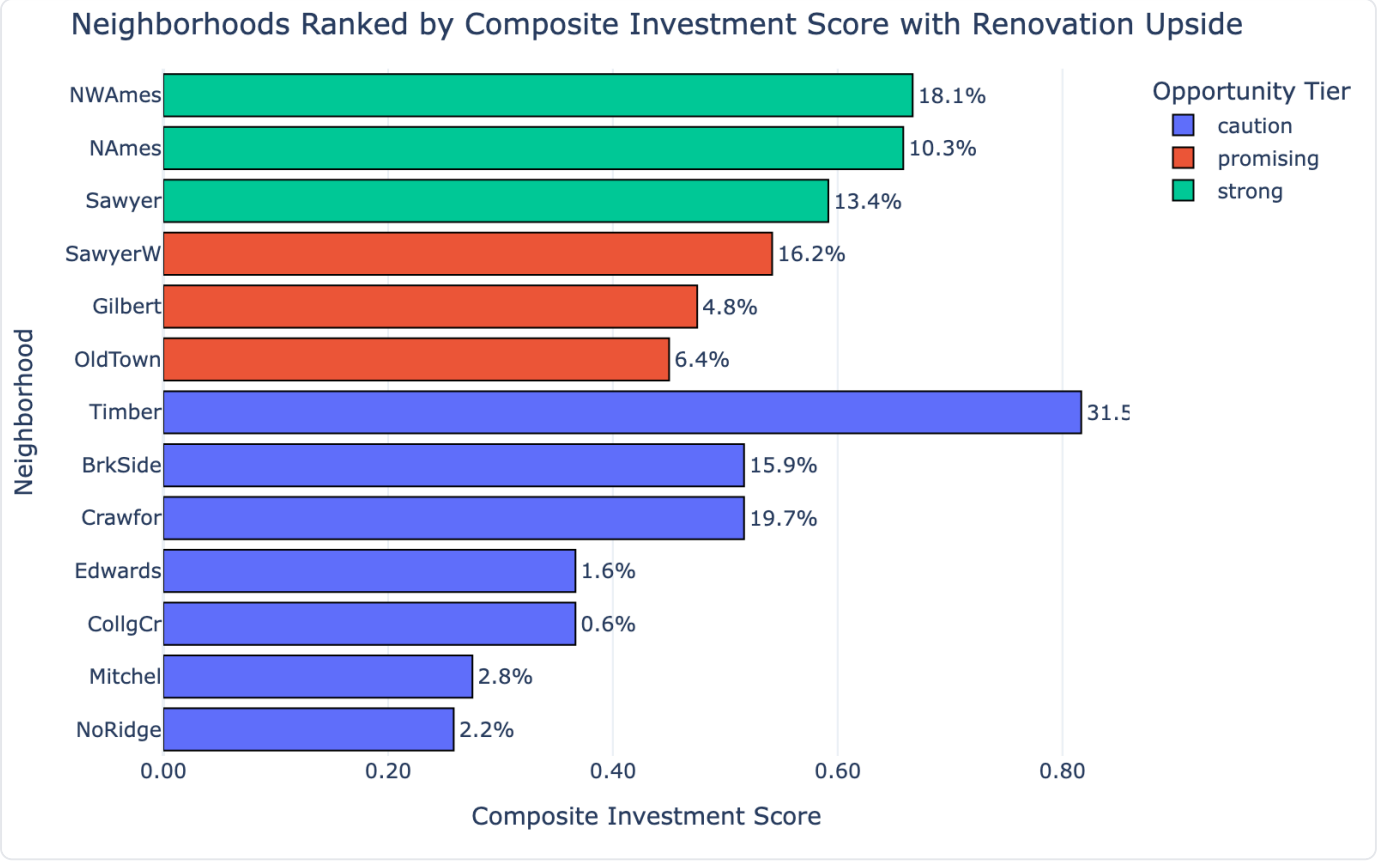

Figure 3

both point to the same conclusion: the most attractive neighborhoods are not the ones with the single biggest raw premium, but the ones where that premium is more investable after adjusting for risk and affordability.

Key Patterns & Observations

The top-ranked neighborhoods are:

Neighborhood	Opportunity Tier	ROI Proxy (%)	Composite Score	Valid Years
NWAmes	strong	18.1	0.667	5
NAmes	strong	10.3	0.658	5
Sawyer	strong	13.4	0.592	5

These are the clearest answer to the original question because they combine solid renovation premium with enough sales history and a better risk-adjusted profile than the rest of the field.

The next-best secondary options are:

Neighborhood	Opportunity Tier	Composite Score
SawyerW	promising	0.542
Gilbert	promising	0.475
OldTown	promising	0.450

These still look attractive, but they are less compelling than the top three once the full trade-off between upside, stability, and entry price is considered.

Some neighborhoods look tempting on premium alone but weaken materially after adding risk or price discipline from the broader ROI-and-risk view `df_neighborhood_roi_view`:

Neighborhood	Why It Drops Back
Timber	Very high premium, but weaker overall investability because entry price is expensive
Crawfor	Strong premium, but volatility is much higher than the best-ranked options

---

Interpretation & Implications

NWAmes is the best overall blend of upside and discipline: its renovation ROI proxy is high enough to matter, but it still survives the score penalty for risk and baseline cost better than flashier neighborhoods. **NAmes is slightly less explosive but more dependable**, which is valuable for an investor who cares about repeatable returns rather than just the highest observed uplift. **Sawyer rounds out the top group as a balanced mid-priced option** with meaningful renovation upside and a favorable enough composite profile to stay in the strongest tier.

The main caution is that not all high-premium neighborhoods are truly the best investment plays. Timber and Crawfor can look exciting if you focus only on renovation premium, but that is exactly where investors can get misled: a premium is less attractive if you must buy in at a high baseline price or if the premium has been unstable across years.

Limitations

This answer is based on 2006-2010 historical sales and uses the recent-vs-non-recent renovation premium in price per square foot as a practical ROI proxy, not a full project-level return calculation. It does not include actual renovation cost, financing cost, holding period, contractor availability, or resale timing, so these neighborhoods should be treated as the best **screening targets** rather than guaranteed highest-profit flips.

The bottom line: if you want the best buy-and-renovate opportunities in this dataset, start with NWAmes, NAmes, and Sawyer; treat SawyerW, Gilbert, and OldTown as secondary options; and be cautious about Timber or Crawfor unless you have unusually strong deal-specific cost control and local market conviction.

Data Sources

- df_neighborhood_premium_summary
- df_neighborhood_roi_view
- df_best_reno_neighborhoods